

to withdraw from the contract within the cooling-off period.

1.3. The outcome of the investigation

Following the information provided by the Company, the Authority conducted further assessments and found that the promotional calls made by Olimpia were indeed conducted without the prior consent of the individuals concerned or involved numbers registered in the Public Opposition Register (RPO).

2. CONCLUSIONS

2.1. Findings

Based on the investigation, it is concluded that Olimpia S.r.l. has violated the provisions of the General Data Protection Regulation (GDPR) and the national data protection legislation by failing to obtain the necessary consent for the promotional calls made to individuals.

2.2. Measures

In light of the violations identified, the Authority orders the following measures to be implemented by Olimpia S.r.l.:

- Immediate cessation of all promotional calls made without prior consent.
- Implementation of a compliance program to ensure adherence to data protection regulations, including training for staff involved in telemarketing activities.
- Regular reporting to the Authority on the measures taken to comply with the GDPR and the national data protection legislation.

3. FINAL PROVISIONS

This decision is effective immediately and must be complied with within 30 days from the date of notification. Failure to comply may result in further sanctions as provided by law.

Verona, 11 April 2024

IL GARANTE PER LA PROTEZIONE DEI DATI PERSONALI

Prof. Pasquale Stanzione

President

of reconsideration.

With specific reference to the preliminary procedures for the conclusion of contracts, Olimpia highlighted that, starting from October 2022, the signing of the same occurs through electronic signature with OTP and that only a residual percentage of contracts is concluded via telephone registration or with paper signature. Regarding the contracting methods in the case of signing via OTP, the company stated that the agencies contact potential customers by phone and, if the consumer is indeed interested in the offer, their identifying data and those of the supply are recorded "by the operator within the company CRM." Such data is automatically inserted into the contractual proposal sent via SMS, containing the link useful for consultation. The receipt of the documentation does not create any contractual obligation and, according to the data provided by the Company, about 30% of the purchase proposals sent are not signed. The conclusion of the contract occurs only at the moment of affixing the electronic signature with OTP and subsequent communication of acceptance by the Company. Subsequently, Olimpia sends a Welcome letter via email or through traceable mail. The contract is also included in the customer's personal area, available on Olimpia's website (www.sinergyucegas.com). Following the procedure described, the Company conducts a blocking check-call in order to "verify the actual intention of the customer to conclude the contract and to check the validity of the contact." This check-call process is managed by XX, appointed Data Processing Manager pursuant to Article 28 of the Regulation.

The Data Controller also declared that it has implemented a system of controls over partners "to ensure compliance with regulations and the quality of contacts" based on:

- granting of specific appointments pursuant to Article 28 of the Regulation;
- preparation of control checklists;
- planning of audits;
- proceduralization of the appointment of sub-responsibles;
- registration of numbers with the ROC;

- inclusion of specific clauses within agency contracts regarding compliance with privacy regulations and D.P.R. No. 178/10, as well as the application of penalties in case of violations;
- conducting sample checks on concluded contracts;
- application of sellability rules aimed at delimiting the operational scope of agencies and excluding certain types of customers;
- control calls regarding the accuracy of the data provided;
- blocking the loading of contracts by third parties who are not partners.

Also, with the same response dated April 17, 2023, the company provided detailed information regarding its privacy organizational chart and the Organizational Model adopted for compliance with personal data protection regulations, as well as a series of indications related to its sales network and partners. Subsequently, with a note dated April 28, 2023 (our Prot. No. 69592/23) to be understood as fully referenced and reproduced here, the Company provided its observations regarding the reports and complaints received by the Authority, highlighting the following circumstances.

Firstly, in all cases subject to the Authority's request, the data controller, denying all calls, stated that "the indicated number does not belong to the company Olimpia S.r.l. nor to its commercial partners" and that the personal data of the interested parties were not present within the Company's IT systems except for one case, related to the report in file No. 191157, which Olimpia managed by allowing the customer the right of reconsideration. Regarding the complaints concerning the exercise of rights under Articles 15 et seq. of the Regulation, the Company represented that it had never received a prior request from the interested parties. The data controller finally represented that it had sent, following the receipt of the request for information from the Guarantor, a report to the Competition and Market Authority (AGCM), requesting its intervention in order to "carry out the necessary checks to protect consumers and the writing company."

1.2.2. Verification at the Public Register of Oppositions

In order to carry out the necessary checks regarding the correctness of the aforementioned telemarketing activities, on July 14, 2023 (protocol No. 0108692/23), the Office sent to the Ugo Bordoni Foundation, which manages the Public Register of Oppositions, the aforementioned list of telephone numbers subject to the mentioned response from Olimpia. In this context, information was requested, pursuant to Article 157 of the Code, for each number regarding any registration with the Public Register of Oppositions (RPO) not subsequent to the date of January 31, 2023. On July 21, 2023, the Foundation sent its response (protocol No. 111771/23), from which it emerged that 301 telephone lines were registered with the Public Register of Oppositions at the time of the promotional calls made by the Company, equal to just over 7% of the total number of telephone contacts made during the reference period (No. 4,223).

1.2.3. Supplement to the investigation

In the course of the investigation, two additional reports concerning the Company of a similar nature and related to the same issue (unwanted calls: files 313167 and 313545) were received by the undersigned Authority. In these cases as well, Olimpia, in the responses sent directly to the interested parties but for information to the Authority, denied the calling numbers and stated that it does not carry out any processing of personal data belonging to the reporters.

1.3. Contestation of Violations

The Office, at the conclusion of the investigation, adopted the aforementioned communication to initiate proceedings pursuant to Article 166, paragraph 5 of the Code (no. 167727/23 of December 19, 2023), in which it first noted that having contacted 301 telephone numbers in the context of telemarketing activities carried out during the period of February-March 2023, which represents just over 7% of the total number of promotional telephone contacts made, while the same numbers were registered with the RPO - and therefore under the opt-out mechanism established by current legislation, could lead to a violation of the existing regulations on the protection of personal data. The Authority also noted that from the documentation on file and the responses provided by the Company, it emerged that Olimpia conducted merely formal and ex ante checks on partner agencies, resulting in the ineffectiveness of the measures adopted and exposing the interested parties to the concrete risk of suffering a violation of their personal data. The contestation directed against the Company essentially

concerned the lack of safeguards and controls in relation to the entire commercial and management chain that originates from the "contact" and leads to the "contract," despite the company being aware of the phenomenon.

The Office, therefore, contested to Olimpia the possible violation of Articles 5, paragraph 1, letters a) and f), 5, paragraph 2, 6, paragraph 1, letter a), 24 paragraph 1, 25, and 32 of the Regulation, as well as Article 130, paragraphs 3 and 3-bis, of the Code, for having carried out processing of personal data of users and contractors in the energy sector in violation of the principles of lawfulness and accountability, in the absence of an adequate legal basis and implementing technical and organizational measures that were not sufficient to ensure, from the design stage, and to be able to demonstrate, that the processing is carried out in accordance with the Regulation.

2. THE DEFENSE OF THE HOLDER

By note dated December 21, 2023 (protocol no. 169112/23), the Company simultaneously submitted a request for access to the documents of the proceeding, as well as a request to be heard by the Authority and an extension of the deadline for submitting defensive writings pursuant to Article 166, paragraph 6, of the Code and Article 13 of internal regulation no. 1/2019 (available on the website www.garanteprivacy.it doc-web no. 9107633), all of which were accepted. The defensive memorandum was then submitted on January 29, 2024 (protocol no. 11660/24) and the hearing of the Company took place on February 1, 2024, at the offices of the Authority.

In the defensive memorandum, Olimpia preliminarily objected that, following the responses provided by it first on April 14, 2023, and subsequently on April 28, 2023, "no further request was made by the Authority until December 19, 2023," thus raising the issue of non-compliance with the deadlines set by regulation no. 2/2019 (available on the website www.garanteprivacy.it doc-web no. 9107640) particularly concerning the deadline for notifying the act of contestation. Regarding the 18 reports and the two complaints that were included in this investigation, Olimpia then denied any responsibility, noting that none of the calling numbers indicated by the interested parties is used by the Company or its commercial partners (agencies), and that none of the agencies mentioned in the complaints is - nor has ever been - a commercial partner of Olimpia, and that within the Company's IT systems, there are no personal data of reporters and complainants, except for those of the reporter in file no. 191157, whose data were processed in the context of the right of reconsideration, as well as for the 2 additional reports for unwanted calls (files 313167 and 313545), received by the Authority during the investigation.

The Company then argued that it was unaware of the phenomenon of unwanted promotional calls, stating that it "has had no part - neither directly nor indirectly (through its agencies) - in the commission of the 22 unwanted calls mentioned above. In fact, not only does the Company not have commercial (or other) relationships with the calling parties, but it neither holds nor processes the personal data of the reporting/complaining parties."

Olimpia then stated that the 22 unwanted calls subject to contestation are part of the broader and general "phenomenon" of the existence in the reference market of "third parties that engage in unfair commercial practices (if not even constituting criminal offenses) and consist of contacting citizens and users by attempting to induce them - even through tricks and deceit, such as the improper use of the names of well-known companies in the sector (including that of Olimpia and/or its brand Sinergy Luce e Gas) - to provide their personal data and/or data related to the supplies they have with such companies, and/or to subscribe to the supply services of other operators that are either genuinely existing or even fictitious" and reiterated that the Company is not "the holder of the of the measures taken to prevent such occurrences in the future; and the Company has a history of compliance with regulations and has not previously been subject to sanctions for similar violations.

****Calling Numbers**** (as indicated by the Authority) and does not have any commercial (or other) relationships with any of the parties that contacted the complainants/reports."

The Company also illustrated the measures adopted to counter the phenomenon and the abusive use of its name by unauthorized third parties by resorting to: "(i) in cases where the Company can trace the

data of the calling parties, the timely sending of cease-and-desist letters aimed at demanding the immediate cessation of harmful conduct, reserving the right to take action in the appropriate venues for the further protection of its rights (see Attachment 1); (ii) in any case, sending reports to the Competition and Market Authority ("AGCM"), duly indicating all available information (telephone numbers and/or names of the companies/subjects involved) so that it can exercise its powers of surveillance and inspection on the market and adopt the necessary measures, according to the law (see Attachment 2, as also done by Olimpia regarding this specific case; see Attachment 5 to the Second Response); and (iii) the adoption of awareness and sensitization initiatives for its customers, both through the sending of SMS and through its website www.sinergylucegas.com with the preparation of a specific reporting form (see Attachment 3)."

Regarding the 4223 contractual proposals related to the so-called "sample week," the Company represented that:

- No. 604 contractual proposals came from the so-called "physical network" (business or residential) and not from "teleselling," as they were concluded through door-to-door sales to customers; therefore, the total number of proposals relevant for the procedure is No. 3619, and regarding these last ones, the numbers registered with the RPO are 259;
- Since following contact with the potential customer, the same may conclude more than one contract (electricity and/or gas) within the same phone call (and thus, in fact, two contractual proposals can be made regarding the same contacted number), among the 259 recorded contacts, there are 133 duplications; therefore, the numbers actually contacted are reduced to 126;
- 2 numbers are attributable to former customers of Olimpia who provided their consent for direct commercial marketing purposes during the initial contracting phase and that the Company could contact again within 30 days from the termination of the contract;
- 1 number belongs to an interested party who at the time of contracting was already a customer of the Company for a different distribution point and had given the latter, also during the initial contracting phase, their consent for direct commercial marketing purposes;
- 1 number is used by Olimpia's partner agencies for testing, which are subsequently removed from the Company's CRM;
- 90 numbers belong to interested parties who provided consent after the date of registration with the RPO;
- In conclusion, regarding the initial 301 unwanted calls contested against the Company, only 32 are actually deemed improper.

Regarding the contestation contained in the communication initiating the procedure concerning the lack of a proper preliminary verification of the procedures followed by the teleselling agencies (in particular, highlighting operational discrepancies between one that claimed to perform checks with the Register of Oppositions and another that believed it did not need to proceed with such checks), the Company clarified that the agencies examined operate in two different contexts and in accordance with Article 130, paragraphs 3 and 3 bis, of the Code, as well as Articles 5, paragraph 1 letter (a) and 6, paragraph 1 letter (a) of the Regulation. More specifically, the first contacts on behalf of Olimpia records from public telephone lists, and since there is no prior express consent from the relevant interested parties to be contacted by phone, it correctly verifies whether these subjects have registered with the RPO. Conversely, the second contacts on behalf of Olimpia records for which the relevant interested parties have previously given express consent for the processing of data for marketing purposes.

Olimpia also reiterated that "The personal data of customers are processed exclusively by personnel authorized under Article 29 GDPR and by external data processors (agencies) that perform the loading within the CRM" and that "Access to the CRM is regulated by access control policies and allows the agent to view only the contracts they have loaded, thus ensuring the confidentiality of customer data."

Finally, the Company requested the archiving of the procedure or, in the alternative, the imposition of a reduced monetary sanction due to the existence of mitigating circumstances as per Article 83, paragraph 2 of the Regulation, highlighting that:

the 32 unwanted calls subject to the reports and complaints are not attributable to Olimpia; the number of telephone contacts made unlawfully during the so-called sample week is lower than that indicated in the communication initiating the procedure and is, in any case, attributable to a "material error in selecting the numbers to be used for telemarketing purposes"; the Company promptly took action to remedy the contested conduct, cooperated proactively with the Supervisory Authority; the degree of responsibility of the holder must also be evaluated in light of the measures taken to prevent such occurrences in the future; and the Company has a history of compliance with regulations and has not previously been subject to sanctions for similar violations.

the technical and organizational measures adopted.

During the hearing held on February 1, 2024, at the offices of the Authority, Olimpia represented that, in order to rationalize the activities of contract acquisition, it has undertaken a series of initiatives aimed at shifting the overall business from the telephone network to the physical one, setting as its objective the increase of contracts acquired through this channel from the current 50% to almost all contracts, thereby reducing entries from the teleselling channel.

Olimpia specified that the company is small in size, employs about 60 employees and collaborators, and that the CEO personally oversees all activities.

Regarding the approximately 32 contracts resulting from calls to users who had registered their opposition via RPO, Olimpia stated that the related contacts were mostly made by agency XX, against which, after terminating the contractual relationship, it has initiated a legal action currently underway. Specifically regarding the databases used to make promotional calls on behalf of Olimpia, the Company explained that these lists are procured directly by the agencies and then licensed for use by list providers. A dual check is performed on the databases, verifying consents and document consistency through sampling.

Concerning the control activities on contracts, Olimpia stated that it conducts a blocking check-call and that in case of unavailability of the customer, the contracting procedure is definitively closed (so-called KO). Additionally, the Company performs a further verification check on a sample equal to 10% of the contracts, usually conducted by phone one month later. Finally, in the case of a so-called "KO" of a contract, the reasons are examined, and other contracts entered by the same agent are also verified. Olimpia also stated that it conducts a third call within three months following the signing, to carry out customer caring activities, verify personal data, and gather information on any issues. This contact is made to prevent win-back operations or new affiliations by more structured operators during the period from the signing of the contract to the first bill, which is generally characterized by a certain lack of contact between the operator and the customer.

Specifically regarding the procedures for accessing the CRM by the agencies, Olimpia noted that a general modification of the system's functionalities is underway to enhance measures for the protection of personal data. To date, agencies have nominal access profiles, and the system does not allow simultaneous access with the same user account. Uploads occur within the agencies, and it is not possible to perform operations outside the work area delineated by the system. The agencies use a VPN to connect to the CRM, and two-factor authentication (OTP) will also be implemented. All accesses and operations are tracked through log files, therefore for each individual operation it is possible to trace back to the operator who completed it, as well as for each contract uploaded.

Regarding the methods for exercising the rights under Articles 15-22 of the Regulation, the Company represented that, in the case of a report regarding an unwanted contact, the structure responsible for responding to the interested party asks them to provide evidence of the calling number to verify all aspects of the unlawful call. In this regard, for over two years the company has prepared informative pages to raise awareness to avoid telephone fraud, unwanted contacts, and other unfair practices. Additionally, Olimpia highlighted that it has established an internal black-list, in which all oppositions to processing for promotional purposes are recorded, to which agencies have access. Agencies are required to consult this black-list before starting a promotional campaign and using the databases, as well as to update the list based on oppositions received directly.

The Company stated that before the start of promotional campaigns, the databases are subjected to verification with the RPO, except for those lists sold by list providers that have already undergone this procedure (in this case, the list provider specifies the date of verification and thus the term of lawful

usability of the list itself). During audits at the agencies, Olimpia requests evidence of the verifications carried out with the FUB.

Finally, at the request of the recorders, the party reserved the right to produce documentation certifying the termination of the contract with XX and any reasons expressed.

In a note sent on February 8, 2024 (our Prot. No. 15628/24), Olimpia confirmed that following internal checks carried out on the 32 contracts reported by the Guarantor, as they resulted from calls to users who had registered their opposition via RPO, it emerged that the related contacts were mostly made by agency XX. The Company documented that it terminated the contract with XX in October 2023, following the receipt of a complaint on October 22, 2023, from a customer regarding alleged misleading conduct.

Finally, the Company specified that the current number of active agencies conducting teleselling activities on its behalf is 14 units and that

however, "only 4 agencies achieve significant numbers in terms of monthly contracts, while the remaining 10 agencies collectively reach approximately 300 contracts per month."

3. AUTHORITY'S ASSESSMENTS

It should be noted that, contrary to what was claimed by the Company, the procedure was conducted in full compliance with the procedural rules and the deadlines provided therein.

It is worth reiterating that the investigation carried out by the Authority involved multiple requests for information to the Company, one of which related to the direct sales made by it in a week of March 2023. Following this request, the Authority sent the list of numbers subject to possible contact by the sales network of Olimpia to the Fondazione Bordini to verify whether some of them were present in the Public Register of Oppositions, managed by the same foundation. The relevant feedback was provided by the Fondazione Bordini on July 21, 2023.

The communication initiating the procedure, containing the contestation of the alleged violations, was notified to Olimpia via certified electronic mail on December 19, 2023, and thus within the deadline set by table no. 2 attached to internal regulation no. 2/2019 (available on the website www.garanteprivacy.it doc-web no. 9107640), which establishes a period of 120 days from the date of verification (excluding the suspension of deadlines during the summer) for the communication of the initiation of the procedure pursuant to Article 166, paragraph 5, of the Code.

On the merits, it does not seem possible to share the defensive thesis put forward by the Company regarding the reports and complaints that are the subject of this procedure.

Indeed, the assertion that "within the Company's IT systems, there are no personal data of reporters and complainants, except for those of the reporter in file no. 191157, whose data were processed within the scope of the right of reconsideration, as well as for the 2 additional reports for unwanted calls (files 313167 and 3131545), received by the Authority during the investigation," appears irrelevant, considering that, as is logically to be assumed, complaints regarding unwanted promotional calls rarely come from interested parties who have activated a service and/or supply contract.

Similarly, the alleged attribution of such telephone contacts to so-called competitors motivated by the intent to induce the unfortunate user to change provider seems little credible and devoid of any evidential basis, in light of the consideration that the initiatives in this regard adopted by the Company appear to be limited to sending warnings and reports, which were never pursued either with the competent authorities or extrajudicially. Furthermore, it is not clear how one could exploit the name of a company to then propose the conclusion of a supply contract with another.

With specific reference to report no. 184158, the holder highlighted that the contact cannot be attributed to the Company, as the interested party stated that the caller had "posed as their gas provider." In fact, with the complaint in question, using the same form, the interested party intended to report two different telephone contacts. The first contact, made at 12:45 on July 22, 2022, is undoubtedly attributed to Olimpia, as in the column "company/business making the advertising call," the reporter indicated "Sinergy Luce." Conversely, the second report was not taken into consideration – and could not be – by the Authority, as it was generic and thus lacked the elements necessary for its evaluation.

In the same way, complaint no. 184868, also contested by the Company, contained two reports, one of

which was detailed and complete with temporal references, the calling number, and attribution to the Sinergy brand. The other report, recorded on the same form, although it also contained temporal references and the calling number, did not include elements suitable for identifying the data controller and therefore was not taken into consideration by the Authority.

On this point, the assertion that the company had never received a prior request from the interested parties regarding the complaints related to the exercise of the rights under Articles 15 et seq. of the Regulation seems to be contradicted by the documentation in the case file and provided to Olimpia along with the request for information pursuant to Article 157 of the Code.

In fact, all reports and complaints containing requests related to the exercise of rights were sent by the same senders to the Company, and for some, Olimpia had already provided feedback (see files nos. 179911, 180374, 181096, 191140, 313167).

Regarding the telephone contacts made during the so-called "sample week" that generated 4,223 contractual proposals, the exception raised by the party concerning the 604 contracts concluded door-to-door, the 133 duplications, the test number, the interested party already being a customer for a different distribution point, and the 90 numbers contacted, prior to granting consent subsequent to registration with the RPO, is worthy of acceptance.

It follows that the remaining 34 telephone contacts were made during the so-called "week."

"sample" in the absence of an appropriate legal basis. More specifically, the two phone contacts made with former clients cannot be classified as legitimate, since any consents previously obtained have been invalidated by the subsequent registrations of the numbers in the Register of Oppositions, in the absence of elements relating to the termination of the contract. The remaining 32 numbers - by the company's own admission - are the result of unlawful data processing.

Contacting 34 phone numbers as part of telemarketing activities carried out during the period of February-March, while the same numbers were registered with the RPO - and therefore under the opt-out mechanism established by current regulations - constitutes a violation of Article 130, paragraphs 3 and 3-bis, of the Code, concerning electronic communications, as well as, more generally, Articles 5, paragraph 1, letter a) and 6, paragraph 1, letter a) of the Regulation, regarding the principle of lawfulness and the necessity of a legal basis of consent to legitimize the processing of the data in question for promotional purposes.

In this regard, the alleged attribution of the majority of the unlawful phone contacts made during the so-called sample week to Agency XX is irrelevant, considering that the warning issued by Olimpia concerns a single attempt at telephone fraud and that from the analysis of the list of proposals in the documents, it emerges that only one contact can be traced back to this agency within the "residential teleselling" network.

The observations made, when considered together, on one hand allow for a favorable view of the effort made by the Company to better align its organizational structure with the current regulations on personal data protection and to curb the phenomenon of so-called wild telemarketing. As a result, it must be considered partially archived, pursuant to Article 11, paragraph 1, letter b) of internal regulation no. 1/2019 (available for consultation on the website www.gpdp.it doc-web n. 9107633), the complaint regarding the possible violation of Articles 5, paragraph 1, letter f), 25, and 32 of the Regulation.

On the other hand, they suggest the appropriateness of indicating to the Company the adoption of suitable measures to prevent contracts generated from a contact made upstream in the absence of an appropriate legal basis from entering the company's assets. In this regard, the implementation of a series of measures (such as, for example, OTP signature and blocking check-call) aimed at assessing the actual willingness of the interested party to enter into the contract appears certainly commendable.

Moreover, such types of control are also provided for by Article 16 of the Code of Conduct for telemarketing and teleselling activities (available on the website www.garanteprivacy.it doc-web n. 9868813 - Prov. GDPD no. 70 of March 9, 2023 in GU no. 73 of March 27, 2024), which, regardless of adherence, presents undeniable value in terms of best practices, in that it provides that "1. Data controllers adopt organizational and/or technical procedures aimed at demonstrating that the data of

the interested party/contractor/user have been acquired in compliance with the principles set forth in Article 5, paragraph 1, of the Regulation; in particular, taking into account the principle of proportionality, through default measures, they implement in the systems specific procedures that identify promotional campaigns, contact lists, and the operators involved in each contract concluded at a distance and are able to demonstrate the correctness of the aforementioned information. Such procedures prevent the registration of contracts for which the aforementioned information is not retrievable (...). 2. Those adhering to this Code of Conduct ensure that the entire supply chain processes the data exclusively on the basis of appropriate consent to processing for telemarketing and teleselling purposes that is clearly distinct from the manifestation of the contractual will. (...) 6. The client develops its processes so that contracts concluded following teleselling activities occur in the presence of unequivocal consent to the original contact, except in cases falling within the scope of Article 130, paragraph 3-bis of the Code. In the initial application of this Code of Conduct and solely for the protection of the interested party, if following the checks contracts emerge for which the first contact is found to be flawed, such contracts may continue to be executed provided that the client informs the interested party of the flawed origin of the contract and that the interested party confirms the desire to maintain it, without prejudice to residual cases where the client does not follow up on proven attempts to contact the client (...)."

In this sense, the numerous complaints received by the Authority also support this. The high number of reports submitted, equal to that of the numbers disowned by the company, only apparently represents a data point separate from the further one relating to the contracts expressly requested by the Authority in the "sample" week. A treatment chain correctly conceived and structured according to the indications that the GDPR provides regarding lawfulness and accountability would not yield two such concerning data points: a) the presence of phone contacts that should not have occurred from the outset; b) the presence of complaints from citizens "foreign" to the company's information assets (in the sense of non-customers, by the company's own admission) who report contacts made in the name and on behalf of the Sinergy brand.

Furthermore, from the investigation, it emerged that the Company...

had full awareness of the phenomenon, having been, in more than one case, a direct recipient of the requests from the interested parties and therefore was fully capable of intervening.

It must therefore be confirmed that Olimpia is responsible for the violations contested through the initiation communication of the procedure pursuant to Article 166, paragraph 5, of the Code of December 19, 2023.

However, in order to correctly modulate the corrective measures to be adopted, also in relation to the indications contained in Chapter 7 of the Guidelines 04/2022 on the calculation of administrative fines under the GDPR (available for consultation on the website www.edpb.europa.eu), all the technical and organizational security measures adopted by the Company so far must be duly considered, as well as what Olimpia stated in the exercise of the right of defense, specifically regarding the overall process aimed at no longer using teleselling activities, favoring forms of contact with potential customers through door-to-door sales and the enhancement of the promotional channel established by the Company's physical stores, which are already widely present in the territory.

In this regard, it must be considered that the significant unwanted contacts coming from the so-called "underbrush" of telemarketing, that is, from subjects not included in the Company's sales network, could, due to the aforementioned choice and future reorganizations of the same sales network, be eliminated at the root, resulting in a significant benefit for users.

4. CONCLUSIONS

For the reasons stated above, it is preliminarily deemed necessary to archive, pursuant to Article 11, paragraph 1, letter b) of the internal regulation no. 1/2019, the contestation regarding the violation of Articles 5, paragraph 1, letter f), 25, and 32 of the Regulation.

Furthermore, considering that 22 complaints and reports regarding unwanted contacts have been received against Olimpia and that such contacts have been made entirely by subjects external to the Company's sales network; also considering that even following a sample check, illicit contacts

emerged that involved, over the course of a week, 34 subjects who then concluded a contract with Olimpia, and taking note of the defensive considerations, it is deemed that Olimpia's responsibility has been established regarding the following violations:

- a) of Article 130, paragraphs 3 and 3-bis, of the Code for Articles 5, paragraph 1, letter a) and 6, paragraph 1, letter a) of the Regulation for having contacted 34 telephone numbers in the context of telemarketing activities, while the same numbers were registered with the RPO - and therefore under the opt-out mechanism - as determined by current legislation;
- b) of Articles 5, paragraph 1, letter a) and 5, paragraph 2, 6, paragraph 1, letter a), 24 paragraph 1 of the Regulation for the failure to implement adequate technical and organizational security measures and controls regarding the commercial supply chain and partners.

It has also been established that the conduct of the Company concerning the treatments examined is unlawful, and it is necessary to:

- impose on Olimpia, pursuant to Article 58, paragraph 2, letter f) of the Regulation, the prohibition of any further processing of the data of the reporters and complainants;
- order Olimpia, pursuant to Article 58, paragraph 2, letters d) and e) of the Regulation, to communicate to the 34 interested parties, whose personal data entered the Company's systems following illicit contacts, the outcomes of today's procedure based on a text to be agreed upon with the Authority in the application of this provision;
- order Olimpia, pursuant to Article 58, paragraph 2, letter d) to implement adequate controls within its sales network and appropriate system enhancements, in order to exclude that contracts generated from illicit contacts may enter the company's assets;
- adopt an injunction order, pursuant to Articles 166, paragraph 7, of the Code and 18 of Law no. 689/1981, for the application against Olimpia of the administrative pecuniary sanction provided for by Article 83, paragraphs 3 and 5, of the Regulation.

5. INJUNCTION ORDER FOR THE APPLICATION OF THE ADMINISTRATIVE PECUNIARY SANCTION

The violations indicated above necessitate the adoption of an injunction order, pursuant to Articles 166, paragraph 7, of the Code and 18 of Law no. 689/1981, for the application against Olimpia of the administrative pecuniary sanction provided for by Article 83, paragraphs 3 and 5, of the Regulation (payment of an amount up to €20,000,000.00 or, for companies with over €500,000,000 in revenue, up to 4% of the annual worldwide revenue of the previous financial year).

For the determination of the amount of the sanction, it is necessary to take into account the elements indicated in Article 83, paragraph 2, of the Regulation.

In this case, the following are relevant:

- 1) the severity of the violations (Article 83, paragraph 2, letter a) of the Regulation), taking into account the subject matter and purposes of the processed data, related to the overall phenomenon of telemarketing, regarding which the Authority has adopted, particularly in the last three years, numerous measures that have thoroughly examined the multiple elements of criticality, providing the holders with numerous indications to adapt the treatments to the current legislation and to mitigate the impact of nuisance calls on the interested parties;
- 2) as a mitigating factor, the degree of responsibility of the data controller, taking into account the technical and organizational security measures already implemented.

****Implementing pursuant to Articles 25 and 32 of the Regulation,****

- 3) as a mitigating factor, the circumstance that Olimpia has not been subject to corrective and/or sanctioning measures by the Authority;
- 4) as an additional mitigating factor, the awareness and user sensitization initiatives undertaken by the Company and the positive collaboration with the Authority;
- 5) as a mitigating factor, the dimensional characteristics of the Company, consisting of a limited number of employees, and its economic capacity, given its modest turnover and operating profit.

Based on the overall elements mentioned above, and the principles of effectiveness, proportionality, and deterrence provided for in Article 83, paragraph 1, of the Regulation, and taking into account the

necessary balancing between the rights of the data subjects and the freedom of enterprise, also in order to limit the economic impact of the sanction on the organizational and functional needs of the Company, it is deemed that an administrative sanction of a payment of €100,000.00, equal to 0.5% of the maximum administrative fine, should be applied to Olimpia.

In this case, it is considered that the accessory sanction of publication on the Authority's website of this provision, as provided for in Article 166, paragraph 7 of the Code and Article 16 of the Authority's Regulation No. 1/2019, should be applied, taking into account the nature of the processing, as well as the risk elements for the rights and freedoms of the data subjects.

Finally, the prerequisites referred to in Article 17 of Regulation No. 1/2019 concerning internal procedures of external relevance, aimed at carrying out the tasks and exercising the powers delegated to the Authority, are met.

****ALL OF THE ABOVE CONSIDERED, THE AUTHORITY****

- a) orders the filing pursuant to Article 11, paragraph 1, letter b) of the internal regulation No. 1/2019 of the complaint regarding the violation of Articles 5, paragraph 1, letter f), 25, and 32 of the Regulation;
- b) imposes on Olimpia, pursuant to Article 58, paragraph 2, letter f) of the Regulation, the prohibition of any further processing of the data of the whistleblowers and complainants;
- c) orders Olimpia, pursuant to Article 58, paragraph 2, letters d) and e) of the Regulation, to communicate to the 34 data subjects, whose personal data have entered the Company's systems as a result of unlawful contacts, the outcomes of today's proceedings based on a text to be agreed with the Authority in the application of this provision;
- d) orders Olimpia, pursuant to Article 58, paragraph 2, letter d) to implement adequate controls at its sales network and appropriate system enhancements, in order to exclude that contracts generated from unlawful contacts may enter the company's assets;
- e) orders Olimpia, pursuant to Article 157 of the Code, to communicate to the Authority, within 30 days from the notification of this provision, the initiatives undertaken in order to implement the imposed measures; any failure to comply with the provisions in this point may result in the application of the administrative pecuniary sanction provided for in Article 83, paragraph 5, of the Regulation;

****ORDERS****

Olimpia S.r.l., represented by the legal representative pro tempore, with registered office in Verona (VR), Via Aurelio Saffi No. 2/D, VAT No. 03589630239, to pay the sum of €100,000.00 (one hundred thousand/00) as an administrative pecuniary sanction for the violations indicated in the motivation, stating that the offender, pursuant to Article 166, paragraph 8, of the Code, has the option to settle the dispute by complying with the imposed prescriptions and paying, within thirty days, an amount equal to half of the imposed sanction.

****ORDERS****

the aforementioned Company, in case of failure to settle the dispute pursuant to Article 166, paragraph 8, of the Code, to pay the sum of €100,000.00 (one hundred thousand/00), according to the methods indicated in the annex, within 30 days from the notification of this provision, under penalty of the adoption of subsequent executive acts in accordance with Article 27 of Law No. 689/1981.

****DISPOSES****

The application of the accessory sanction of publication on the Authority's website of this provision, as provided for in Articles 166, paragraph 7 of the Code and 16 of the Authority's Regulation No. 1/2019, and the annotation of the same in the Authority's internal register - provided for by Article 57, paragraph 1, letter u), of the Regulation, as well as by Article 17 of Regulation No. 1/2019 concerning internal procedures of external relevance, aimed at carrying out the tasks and exercising the powers delegated to the Authority - relating to the violations and the measures adopted in accordance with Article 58, paragraph 2, of the same Regulation.

Pursuant to Articles 152 of the Code and 10 of Legislative Decree No. 150/2011, an appeal against this provision may be filed with the ordinary judicial authority, with a petition submitted to the ordinary court of the place where the data controller has its registered office, within thirty days from the date of communication of the provision itself.

Messina, April 11, 2024

****THE PRESIDENT****

Stanzione

****THE RAPPORTEUR****

Scorza

****THE SECRETARY GENERAL****

Mattei